Ex-Goya COO on the $1.4 Trillion Family Business Opportunity in Three Consumer Sectors | Andy Unanue

Podcast: Monetary matters

AI Executive Summary

1. Core Thesis Family-owned businesses drive 70%+ of the U.S. GDP and represent a massive $1.3-$1.4 trillion opportunity in the lower middle market (specifically food, beverage, pet wellness, and co-manufacturing), yet they often struggle with traditional private equity expectations regarding leverage and governance. AUA Private Equity Partners addresses this by partnering closely with families to provide moderate leverage (~3x), operational efficiencies (increasing EBITDA by 15-30% without significant CapEx), and professional governance, treating family businesses not as transactional targets for high-leverage restructurings but as long-term growth assets that benefit from honest capital injection and strategic alignment.

2. Key Arguments & Data

3. **Market Size:** Family-run businesses generate over 70% of the U.S. GDP. The specific lower middle market segment AUA invests in (food, beverage, pet wellness, co-manufacturing) represents a $1.3-$1.4 trillion opportunity, primarily targeting companies with EBITDA between $10 million and $40 million.
4. **Leverage Approach:** While industry averages vary from 5x to 8x leverage, AUA utilizes moderate leverage (~3x), prioritizing family comfort over maximum financial engineering. Families roll equity back in (retaining 15-45% ownership post-acquisition).
5. **Operational Impact:** AUA has achieved 15% to 30% efficiency improvements in every partnered business, often eliminating minor safety incidents from recurring monthly risks to zero over the first six months of intervention. Efficiency gains are driven by workforce culture, wages, and process optimization rather than heavy capital expenditure.
6. **Demographic Trends:**
    - **Pet Wellness:** Spending on pets increased during the 2008 market dislocation; studies show budget cuts hit child budgets before pet budgets, and "humanization" of pets drives wallet share (pets sleeping in beds vs. crates).

    - **Ethnic Food:** Growing cross-cultural adoption of food; Hispanic-owned businesses can reach national markets through strategic expansion (e.g., expanding from Caribbean/Central American cheese to Mexican varieties).
    - **Health & Nutrition:** Rise of "healthy snacking," high protein/fiber products, and adaptation to new drug classes like GLP-1s (users eating lower caloric volume but needing more protein). Mega-CPGs are pivoting towards this via packaging changes, size reductions, and cleaner labels.
7. **Private Equity Ecosystem:** There is a slowdown in PE exit volumes across the market, but demand exists for institutionalized family businesses with clean balance sheets and operational data (10M-50M EBITDA range). Buyers include large sponsors (sovereign wealth funds), strategic companies, and other family offices.

8. **Manufacturing Renaissance:** Manufacturing is returning to the U.S., focusing on cleaner, safer, and more efficient facilities. Paying workers a living wage reduces turnover and long-term costs despite perceived higher immediate widget costs.

9. Actionable Takeaways

10. **For Investors:** Diversify into lower middle market family-owned businesses rather than solely chasing high-tech mega-capitals. Look for "build or buy" opportunities where companies are underperforming operationally but possess authentic brand equity; evaluate deals based on operational leverage (e.g., 3x leverage) rather than maximal financial engineering.
11. **For Family Business Owners:** Prioritize safety, culture, and efficiency to maximize EBITDA margins before seeking a sale or transition. Do not wait until the next generation is ready if the current leadership is facing succession challenges; consider partnering with a firm that can provide impartial arbitrage on family disputes. Ensure you have estate plans and liquidity strategies in place for the expected $1T+ wealth transfer from Baby Boomers to avoid liquidity traps.
12. **For Consumers & Market Watchers:** Expect continued growth in the pet wellness, ethnic food, and high-protein snacking sectors due to

demographic shifts (Baby Boomers replacing children with pets) and health trends (GLP-1s). Authenticity matters: consumers value family-owned "grassroots" brands over mega-CPGs that dilute product identity.

13. **For Operational Strategy:** Focus on non-CapEx improvements like employee training, supply chain transparency, and safety protocols to drive immediate performance gains. Adopt co-manufacturing models for upstart brands to reduce risk compared to owning manufacturing facilities.

Full Transcript

Our economy is driven by family run businesses. 70 plus percent of the GDP is generated through family run businesses. In the food, beverage, pet wellness sector, it's a 1.3, 1.4 trillion dollar market opportunity. So it's a big market. I'm a family business guy. I love businesses and I love families. And every time we've sold the business, those families have become investors in our next fund. Welcome to Other People's Money. I'm your host, Max Weethy, and I'm joined today by Andy Yunanwe, founder and managing partner at AUA Private Equity Partners, which focuses on lower middle market family run businesses and specifically on making operational improvements in their portfolio companies. Andy, thank you very much for coming on the show. Thanks for having me, Max. Excited for the conversation. Well, it's really hard to separate what you're doing now from your experience in your own family business.

For many years prior to starting AUA, you were the COO of Goya Foods. I'm sure many people know Goya Foods. It's one of the most successful Hispanic owned food companies in the US. Talk to me a little bit about your experience there and how it was really the genesis behind the strategy at AUA. Look, I grew up in a family that had a family run business. A lot of kids like me, you know, we worked every summer and holidays since I was in seventh grade getting to know the business getting to know the people in the In the organization, you know, it was nice to spend time with my family on not just social level but a work level and You know really seeing what my father and was driving and later my brother and uncle and But it was a great experience, you know, it drove home what hard work is it does for a company, what treating people with respect, understanding that putting out consistent top quality product is a way to succeed. Having strong family culture or strong corporate culture, whatever that culture is, is important to moving forward.

And I love working with families. So, you know, while I was at Koya, I did a lot of, you know, continuing education and research in family businesses. And that's what led me to starting the firm after I launched a family office in 2004 and institutionalized that. I realized that I really liked working with

families. I love that culture and wanted to help other families, you know. Transition out of the business if that's what they desired. So it was kind of really the genesis of of what we decided to do at a way private equity. Yeah, well family businesses in many ways that as the origin of industry here in the United States. Obviously, we've seen so much corporatization and the growth of companies to some of the mega corporations that we have today. But smaller family-owned businesses have also gotten very large. What is the market size like? And help me understand, what percentage of the U.S. economy still operates in a family-owned business? Our economy is driven by family-run businesses.

I know in the value chain that we invest in, so that's family owned businesses in the food, beverage, pet wellness sector. It's a 1.3, 1.4 trillion dollar market opportunity. So it's a big market, but obviously the entire family business community is much larger than that. And again, I think. seventy plus percent of the gdp is is generated through family run businesses i'm not a hundred percent sure but i think it's something like that so your specific segment one point three trillion in uh you said it's food pet wellness what was the other one and so it's food beverage pet. wellness and co-manufacturing within all those sectors and that's in the size right we invest in right so that's you know kind of families and businesses doing 10 million to 40 million dollars of EBITDA net cash flow.

So you were an operator, you hear this a lot private equity, right? We have this operational expertise. We're going to come in, we're going to improve the operations of the business. How true that is differs from firm to firm, but you really were an operator there. So what is it that you see with family owned businesses, despite the size of many of these companies that they can improve on operationally and why do you think that's an opportunity for investors? There's lots of opportunities within the family business sector and it's just our model to help on the operational side. So we are putting. moderate leverage, you know, we've closed businesses with no leverage because the family was extremely adverse to any leverage. And then we were able to get them comfortable with it. So we put some leverage on throughout the whole. But our average leverage is kind of like three turns of leverage. And as you're aware in our industry, that's pretty moderate. You know, some people are, you know, five, six, seven, even up to eight times,

which is just where we're not comfortable and neither are the families we partner with.

We, you know, we require those families to roll equity back in with us. So while we take control of these businesses and buy over 50%, they end up being somewhere 15 to 45% of the business after our partnership. So we have to respect their wishes too. And we just, you know, I've never worked in a high leverage environment. So what you do in those businesses is different, right? You're worried about covenants and, you know, we're worried. about longer term experiences and it's okay if a quarter or two quarters don't go as planned. We're still able to pivot and get that straightened out without having to worry about restructuring the debt or the bank hammering down on us. So we love this lower middle market sector. There's many ways to exit. You don't need to worry about the Market the public equities and things of that nature. So we feel there's always a, you know, a buyer when we're ready to sell the business. We usually are cleaning up and strengthening the management team, bringing in outside expertise, building a board of directors, a true board of directors that can act on advisory section, advisory.

ways means and then also, you know, broadening out the C-suite to, you know, open up our, you know, Rolodexes and help on the sales and also on the performance of the middle of the P&L, where, you know, operating a manufacturing facility, we've been able to find anywhere from 15 to 30% efficiencies in every business we've... we've partnered with, which goes a long way to increasing that middle of the P&L on an EBITDA basis. What is the family perspective on the exit? Is this the next generation up doesn't want to run it or they just see that the next stage of their business is going to require an expertise that maybe they don't have to take it to the next level? It's a mix. Each deal is differently. Sometimes The, you know, matriarch or patriarch who's running the business wants out in, you know, 12 to 18 months and the next generation just isn't ready. We've done two transactions where the family has stayed in when we've sold the business. We obviously can't guarantee that. And that's, you know, we're always looking for the best.

exit for the entire business and the shareholders but we have been able to do two transactions where the family stayed in after we sold and in one instance and in Water Lilies which is a great a great transaction for everybody and a great family that we worked with. The second generation was running the business when we came in. Peter Lee and his wife Lucia and, you know, they were moving facilities and expanding the business. And that's when we joined them. And when we sold that business, the family Peter, right, we kind of took out most of his parents and the G1, but Peter was able to roll personally him and his wife more equity into the next transaction than the entire business was worth when we bought it.

So it can be anything, right, from there's a transition when the family is out of management within a year, and where professionalized are even less, right? We've done one deal transaction recently where The management team was transitioned out with the blessing of the family within six months. And others, as I mentioned, too, where the patriarch and matriarch of the family has stayed on in management and has turned out to be tremendous CEOs. I want to switch a little bit to more of a conversation around private equity, the state of the asset class right now. So you're in the lower middle market. You alluded to the fact that you are less Reliant on public equity markets for your exits certainly at the higher end of private equity There's been a talk about how exits are not happening People broadly got overexposed to software and I think there's somewhat of a reckoning there But you know you you're focusing on hard assets manufacturing And and a different part of the market. How different is the tone?

in private equity where you are versus maybe some of the bigger firms that get the headlines that sort of drive people's perceptions of the asset class. There has been a slight slowdown in exits and transactions in our size as well. We've been fortunate enough to do transactions on the buy side and have sold businesses over the past year or so. But I think with The amount of capital in private equity and in, you know, family offices and people looking to buy businesses. Where we are, you know, if we build a business from 20 million dollars, even to 55 million dollars, there are plenty of people in in that market looking to buy a business and partner with people to, you know, grow to the next level. So.

We've been fortunate to have transactions on the buy and sell side. But would I like it to be a little bit more robust? Absolutely. But I say that in every market. Everybody always wants deals to be moving faster. That's how they can change that. But I guess who are the buyers? I know we can't really talk about specifics, but trying to understand when you're talking about a. You know, you gave the example of a business that goes from 25 to 55 million in Ibadah. Who's looking to buy that? Is it other higher up the market, private equity firms, other families? Who are these buyers? All of our exits have, except for one where we orchestrated a management buyout with the management team and some partners that they brought in. All of our exits have gone to either larger sponsors, private equity firms, or strategic. And in the middle there are strategic that are backed by private equity firms. So we're buying businesses 10 to 40, 50 million of EBITDA. When you get from us to firms that are looking at businesses from 30 to 100, 200 million of EBITDA, there is a big pool.

And that ranges from larger sponsors, sovereign wealth funds, family offices, strategic companies. It's a big pool of capital. And as I said, if we were seeing more deal flow, we would transact more. They're in the same boat. The more deal flow, they see that good deal flow, right? And hopefully that's what we're doing is making these businesses better, more institutionalized. So a business that we would transact on, maybe not just because of size, isn't institutionalized enough, doesn't have KPIs, doesn't have the right systems in place, are working with a very small accounting firm and doesn't have the information and data needed when we get in there and kind of bring it to the next level. These larger firms are much more apt to transact on companies like that.

So then I guess, what do they see, right? You're making all these improvements, but I'm certain that the buyers probably have to look at what you're passing over them and say, oh, we can do so much with this too. So what are the things that you kind of leave for that next level of firm? It's important to not scrape. the meat off the bone and you're leaving somebody a flat business that won't be able to grow at all. We stay in touch with the families if they roll over. So in those two transactions where the family has stayed over, they've been able to continue to grow, which is important. And

we try and build out a plan of what's next for the next buyer. So we sold a meat snack co-manufacturing business.

We built the business from 18 million to over 50 in EBITDA. But we had a roadmap for the next buyer over the next two years to build that from 50 to 75 million of EBITDA. Now that would require capital expenditures and putting in three new plants. The sales pipeline was there and the roadmap was there. It was just time for us to move on and for the next person to take over. So it is important for us to have a roadmap and a plan for the next buyer to make sure that we, while we build a better business for them, we also have a roadmap and a plan for them to grow and make money as well. Why not execute that plan yourselves? Just transitionally where we are in the fund, where we are with the deal.

You know, and sometimes we just make the decision, do we want to hold the business or do we want to end? We have to sell businesses, right? My job isn't just buying businesses and working with families. It's having a transition and getting to an exit, a successful exit. Our partners want it. Our investors want it. And the family we partner with, that was the goal when we did it. And we try and stick to our word. And when the time is right, and we think the markets are correct and we're getting a good value. That's fair for both the buyer and the seller and the family is on board It just makes sense for us to do it. Look, I'm a family business guy. I love businesses and I love families Is it is it bittersweet when we when we exit some of these tremendous businesses? Absolutely, but that's the business I'm in right now. Will that change in the future? Are there some of these businesses that?

Maybe under a different fund structure or a continuation vehicle will be a business that we can hold longer and make our partners even more money, absolutely. But in the industry and in the market I'm in right now with the fund life and the structure we have, we have to exit. Yeah, people want out. People want their money. Increasingly so. Increasingly so. After these slow periods of exits. So let's shift again to the specific sectors and the macro backdrop. Obviously, you're tremendously focused on the micro at the businesses. What are the operational improvements specifically with that individual family business? But you are focused on these four sectors for a

reason. They're demographic trends that are really driving, specifically Hispanic and other ethnic foods.

I think we've all seen the humanization of pets trend, the way that pets are just getting more and more wallet share in the average family. So talk to me a little bit about the demographic trends and the other macro factors that have you excited about these sectors. We'll start with, as you mentioned, the humanization of pets, right? We have run studies that maybe a little bit shocking to people, but we have studies that back. during the 2008 market dislocation, people actually cut the budget on their children more than they did on their pets. And most recently, we've also run studies where the closer your dog or cat sleeps to the bed or in the bed is how much more money you will spend on them. So if your dog sleeps in a crate in the garage, you will spend less on that dog than if He's in the bed. He or she is in the bed with you. So we take that humanization element that you're saying, hey, right? Younger generations are waiting longer to have children. Older generations and baby boomers are replacing their grown children with pets. And so there's all that around it that your pet And the, you know, your furry family members, as some people refer to them, are getting a larger share of that wallet share. So that is a big demographic trend. And then, you know, as you mentioned, the ethnic population is growing in this country. I grew up in a Hispanic business in a Hispanic Latino family. And as the population changes, not just with immigration and Hispanics having more children and other ethnicities having more children, but it's also the cross pollination, right? So my wife is Irish Italian and now she eats tons of Latin food and Asian food and things like that. And when she was growing up, you know, everything was more just Irish food, right?

And that's happening across the country so the ability for us through my background and also you know our value creation partners and and my my partners in the firm understanding that that Market trend and how to attack and market to that that does give us a better opportunity to Expand and grow these businesses, right? I was always taught that if you want to you know sell the whole country your management team should have some of that cross-pollination within the management team to understand how to sell to everybody. You know, when I used to be COO Goya, I would speak across a country at different events. I would always say, look, I could read

as many books on kosher marketing and kosher eating as possible. If I didn't grow up in a kosher household, I am not going to be able to fully understand and grasp what that culture is like and how to market.

Properly and same thing with ethnic foods. So that is you know, one of the other things we focus on and even if it's you know, what somebody would consider a general market food business, right? Hispanic in the ethnic population and and is growing and if you can find better ways to target market to those in a cheaper way, right? For some reason today the same amount of people that you can reach through TV on Hispanic TV versus English TV so price Per eyeball that you're getting is much cheaper through Spanish TV than general market TV So we were able to extract those things and then the other thing that we find very Exciting nowadays is better for you healthy Snacking foods. So as I mentioned, you know, we we transacted on a meat snack business So where the trend seemed to be going now and we think are permanent and moving for a long period of time is high protein, high fiber, healthier in that manner. And then you layer on top of that all the GLP-1s, GLP-2s, and now GLP-3s coming to market. People are eating less caloric volume, but need protein and fiber. So we try and play in that kind of ecosystem of where we can have cleaner labels, better for you products, and healthier product to help.

everybody, whether they are on GLP ones or not, you know, eat healthier and cleaner and lead a healthier, longer lifestyle. I'm certain that that probably is affecting your view on beverages as well. I mean, for so long, the leaders in the beverage space were arguably some of the least good for you brands and products. But there's also when you look at the the beverages that are popping up, they're not from the Coca-Cola's, Pepsi's, they're coming from outside or spy and large, they might eventually end up at those companies. But the growth in the beverage market does seem to be coming from upstarts, new categories, and generally focusing on lower calorie beverages. I mean, how much is that playing out in that sector for you?

So we haven't transacted in the beverage space yet. We look at it all the time, but yeah, absolutely, right? And I think Pepsi has done a very good job at trying to get ahead of that and get on the healthier side with some of

their acquisitions on the snacking side too was yet there, but on the beverage side, absolutely. Look, we are not as healthy of a country as we should be. And we have the resources and the capabilities to be a healthier country. And I think it's inherent on our big food producers and beverage producers and the middle market where we consume and even the smaller ones to be the kind of catalyst to help us get to a healthier lifestyle. And we have the ability to do it. And like I said, I think.

some of these bigger companies are pivoting to that, right? That comes along with price pack architecture, you know, maybe smaller sizes, less sugar, better ingredients, cleaner and glee ingredients, getting some of these artificial colors and things out of our labels and ingredients. And I think it's important. And I think while you are absolutely correct, most of these are through startups and you know, lesser known companies that grow, I think the trend will continue that these big strategic companies will see this as their growth opportunity, right? You listen to their, you know, their quarterly calls and read their annual reports. The growth is not coming from where it came from when we were growing up, or at least when I was growing up, right? Where, you know, all these You know sugary snacks and sugary drinks were great But people are a little bit more worried about long-term right the diabetes epidemic in this country is is not what it should be and I think they're doing a good job, but yeah, absolutely. We love that sector and We try we haven't while we haven't done a beverage We, we have done many on the food side. And part of the reason why it's harder to do on the beverage side is there's less chemistry and internal know-how on the manufacturing side. And some of these brands are high risk as they're growing fast, right? We hear about all the good ones, right? Holly Pop and Poppy, but I have a stack back in my office of probably a hundred that Nobody's ever heard of, and guess what? Nobody ever will because they're out of business, right? And so we won't take that risk, but in that sector, we will look on the co-manufacturing side. And what we have found, and others are finding other opportunities, but what we have found is on the food side, there is more science and more manufacturing internal know-how versus on the beverage side, which seems to be more replicable. Yeah, more about marketing and finding.

finding that way. And a binary outcome on the branded side, right? Like I said, Alipop and Poppy and all that beautiful stories and great. But for every one of those, there's 100 plus that aren't going to make it. And we're just not willing to take that risk. That's asymmetric risk that my firm and my partners will not deal with. And those larger conglomerates that you're talking about that are recognizing these trends. Are they viewing it as something where they can compete in the brand incubation or is it a buyout story for them? And they're just saying we need to change our mix of our brands and it's gonna be a process over years of trying to find these winners, get them at the right prices and hopefully grow them. Or are they incubating these types of brands themselves?

I think it's a mixture of both. I think they are trying to make their mega brands a little bit healthier, more efficient pack sizes. And that's one way of doing it and then cleaning up the labels on other ways. And some of this is not a big proponent of government pushing private companies to do things, but I think there is a push from the government over the past decade or so to Push cleaner healthier living and and the big CPG companies are reacting. So I think that's one side and we've seen the transaction right. They are buying. Businesses that are leading in that space as I as I mentioned I hate to harp on Pepsi but I think they've done a great job. You know they bought Seattle which is a healthier snack food chip and things of that nature.

poppy or alipop, all those types of better for you kind of concept sodas with less sugar and some probiotic or natural properties that are helping. So I think they do both. I think they are trying to transition while keeping the high demand of the product without trying to change the taste as much, shrinking pack sizes. So instead of you know, sitting down with a 300 calorie bag of chips, you're at 150, 180, 100 right snack sizes. And again, that kind of matches up with where the market is going, especially as more and more people are on these GLP ones, GLP twos and GLP threes that you want a good snack and and that's healthy for you. But you also want to feel good about eating something and something that tastes good. If instead of 180 calorie.

bag of popcorn, you're eating 100 calorie bag of popcorn, that's okay, especially if your caloric intake is down. But so I think they do both, and

they have to, right? Because they have to, they can't stop producing your winners, right? You can't transition a huge battleship like that overnight. And I think these big CPG companies are seeing that, and we'll get better and better at figuring it out. There's smart people. Yeah. Yeah. No, I want to ask about another demographic trend and that is the caring it seems like from consumers about who is the owner and who is the brand and if you look back maybe in prior decades people would have given value to the idea that something was owned by one of those mega brands and now it feels like the consumer at certainly in my in my age demographic values more that something is a family owned business, that it is artisanal or perceived to be in that way, that it isn't coming from a mega brand. Are you seeing that driving interest in lower middle market brands as consumers view that as a sign of quality and punishing more the mega brands? Absolutely. And I think it also goes to authenticity.

Right. I think, as I mentioned, right, there's a cross-pollinization within the country of people interacting, marrying, becoming friends with all different cultures. But I also think people travel a lot more than they used to, right? My nieces and nephews are doing semesters abroad, doing destination weddings multiple times a year. You know to me a destination when I grew up was going from New Jersey to New York That's not how this and then you add the internet and social media That has really expanded and exposed people to all different types of foods and that authentic, right? food or beverage is extremely important to your generation and all future generations. So I do think it is easier for people to get their arms around that this is an authentic family business or an authentic product coming from a smaller business that understands it to its core versus a, you know, multi-billion dollar organization that is trying to get into a category that seems it should be, you know, kind of grassroots grown. And that's why I think these smaller companies have done extremely well. And why I do think, going back to the previous question, why I do think there will always be that ecosystem for the foreseeable future where they will get to a size and breadth where a large CPG company has to buy them out. And look, we've seen it all along.

big, you know, big splash, you know, press releases about, you know, these big CPG companies buying them. And then you see the other side of the

spectrum where they're buying them quietly, don't want a lot of press around it and just put them into their system to get distribution, get marketing and let them look like they're still a family run business, right? Well, and to the point, you know, I remember the example of when cores bought Blue Moon and they We're calling it a craft beer and they had to change the packaging because they decided that that was disingenuous to call Blue Moon still a craft beer at this stage in its life. So talking about the government forcing private companies and maybe trying to make sure that we are marketing these products accurately, it's definitely happening.

I wanna ask about what I like to call the mattification. Everything seems like it's matte, right? Like the matte packaging, it means it's healthy, it means it's natural, it means it is artisanal. What are the marketing trends that you're seeing? And you talked about the internet and the way it is changing how we find new brands. How much has the distribution and marketing and branding changed since you got into this industry and to where we are today? tremendous look when I when I got into the industry there was no nutritional on on labels right so you didn't know what the the caloric count was on anything right and there was no expiration dates on most things right so that has totally changed um and for the better right it's a little bit easier to understand what you're eating when it's not just the ingredients and back in the day you couldn't Understand or read the ingredients either right they were multi-syllabic words that. Most people couldn't read or understand what they meant so that that's one of the things but yeah people are concerned about what they're putting in their body and I think that's a good trend and I think that is a big push as to where we're going on labeling and packaging and better packaging right.

um you know canned foods has found better liners and and better processing techniques frozen foods is growing and growing right and within frozen foods being able to be flash frozen at the source first you know being picked and three days later processed and and frozen so all those things go into making these products a little bit better and and as you call it the modification right trying to make things look like they are healthier and better for you and you know grassroots more closer to farm to table right or farm to home within the you know retail sector. So that has been a big change and I think it will continue to be and look all companies the large

ones and the small ones do focus groups on what works and what doesn't work and that helps drive kind of the change and the evolution of these processes.

But specifically talking about the internet and the way it's changed marketing mean has it changed the speed to scale and how fast companies I mean their brands that it feels like they've been around for two seconds and they're everywhere and suddenly ubiquitous on shelves across You know new types of retailers to I never thought I'd be be seeing olive oil sold in in coffee shops But here but here we are right And so, I just wonder how the internet is changing marketing and changing the operational playbook that you're working with for a lot of your portfolio companies. Sure. And look, on top of that, within the internet, you have all these influencers, right? Where we had a product that was selling through Costco, and all of a sudden, without our knowledge, an influencer picked it up and started talking about it and our sales tripled I mean that's insane right um and there there's stories like that and obviously that's how the marketing dollars have moved more towards influence and and and internet marketing and things but it's it's been a tremendous you know kind of game changer as how firms and how companies and how products are marketed and speed to market. Absolutely. And again, that comes with risks and things of that, right? Does it become a trend and all of a sudden your sales triple and then die out? And also you built up all this inventory for tremendous growth, right? If we did it for two months, we're going to be able to do it forever and where it's grown from there and you build up inventory and all of a sudden it was you know a trend or even worse people don't like your product right which is the most important thing right it's great to get product out there but it has to be something people want to eat repeatedly and and uh you know for a long period of time so and you see stories about that right um but yeah the internet and speed to market has has evolved and and accelerated tremendously so when you're underwriting a business and maybe we could talk about that the deal flow process about how companies end up on your desk and what looks exciting to you. What are the modes that you're looking for in this new world with faster speed to market? You can have these upstart brands, maybe even pre-product starting to market to your same customer base. What is it that you're really looking for to come across an exciting company?

Yeah, so sustainability and, and, you know, good family corporate culture within the organization and the ability to help. But within that, I would say, you know, and we touched upon it a little bit earlier, we won't take the risk on an upstart business that is growing tremendously fast, but we will look at that sector, right? And we've done it in protein bars in. in meat snacks and other sectors. So when it comes to these areas that we think are high growth and there are a lot of upstart brands, we won't bet on one of the brands, but we will attack that from the co-manufacturing space. And that kind of ties back to the last question where you said speed to marketing, where in the old days, the way you would build your brand is by having your own manufacturing, scaling with that. Now these upstart brands and the meat snack and the protein bar, aren't doing their own manufacturing. They're partnering with very qualified, very good co-manufacturers who can source the right ingredients, work with the brand's team as to how to formulate those products and how to get them to market faster, cheaper, more efficiently.

and better. And so we have done that in several spaces, as I mentioned, right? And not just in healthy, better for you, upstart snacks, snacks, but also in other sectors that are more stable. So this co-manufacturing business has really increased. And on top of the co-manufacturing is a private label where there are store brands that are being built more like brands versus just generic, low quality, cheap product. for somebody who can't afford the, you know, the national brand. So that's how we view that. And then on the branded side, if it is a high growth area, we look for families that have been in business for, you know, a long period of time and have stability and the wherewithal to kind of, you know, ride market trends and have done it in the past as changing patterns have affected their business. We've done that with you know, tropical cheese, which is the number one Hispanic cheese business east of the Mississippi and several others. But that's kind of where we kind of bifurcate that. So a lot of the brands that many of us might be familiar with newer brands, they don't have their own factories, you're saying they're going to these co-manufacturing facilities. Are you also...

beyond just the manufacturing, is there any supply chain aspect where you have experience in making sure that the right ingredients, if the whole thing is really a branding exercise and we have the best ingredients and we're

sourcing from all of these places. And the best products, right? Yeah, absolutely. Yeah, look, when we were in the protein bar business, so we owned a company called True Food Manufacturing that did protein bars, granola, and chocolates, better for you chocolates. We worked with our clients who were national brands and we helped them develop new products. So we had a internal team called Launchpad where we went out and did research as to where the market was going. And we worked with all of our customers and said, look, you have a tremendous protein bar, but have you thought about, dark chocolate or low sugar chocolate, peanut butter cups. And then we develop the actual product, work with their R&D team to put it through, you know, processes with the best ingredients, the best process, and then come out with a new product for them. Obviously their input is important, right? But we're working on the taste profile, the ingredients coming in and the nutritional kind of.

parameters that we're looking to get. And we've done that with several of our customers and launched products for them that have gone from zero to one of the top five SKUs in their system. And so that involves the entire supply chain from sourcing to manufacturing to distributing out and working with them to do that. So yeah, that's one of the things in our toolbox that has worked very well for us. that you had said something about one of your past brands and how it was the biggest Hispanic cheese brand east of the Mississippi. How much are we still dealing with regional preferences in brands and foods and how much nationalization of everything is going on? And does that affect what is exciting to you? Do you want a brand to really have big national impact or can something be the winner in a specific market and still reach the size where it's really attractive to you? So the answer is yes. I think it can go from regional to national. And so for this instance, the Hispanic cheese business is different than others because Hispanic cheese and Hispanic food is usually targeted to the Hispanic community they serve. So if you go east of the Mississippi, it is much more Caribbean and Central American versus you go west of the Mississippi and you are much more Mexican centric. So the cheeses that Mexican community is eating is different than the cheeses that the Puerto Rican, Dominican, Cuban, you know, Guatemalan communities are eating. So the reason we specify east of the Mississippi is because these are cheeses focused on those Hispanic communities, right? As they immigrate or have

been here for three, four or five generations like my family. So, you know, tropical cheese is focused on Puerto Rican cheese, Cuban cheese, you know, Dominican cheese. Now, are there other, you know, communities that eat those?

absolutely, but they are authentic to these countries and to these, you know, and to these communities so that when, you know, a Puerto Rican comes to New York City from Puerto Rico and they know that the tropical brand is a true authentic queso blanco, queso de freil. So that's why it's been regionalized. Now our goal is to either through acquisition or through product expansion, build out that Mexican cheese product. So we can obviously, we have some and sell it within the eastern coast, but to really extract value, we would want to do an acquisition and possibly buy a Mexican cheese company that we can really expand out west. So even within your portfolio companies, you're doing other add-on acquisitions. It's not always just internal development of new products and skews. Sometimes it is better to go out there and just buy something that's existing. Yeah, absolutely. And again, same thing just like the conversation we spoke about early with larger CPG companies. It's an equation. Is it cheaper to build or to buy? So for instance, in the true food business, protein bar manufacturing business. We did a small acquisition, but one got us into other brands to manufacture for, but also got us into other types of manufacturing. So there's extruded, there's baked, there's all different types of protein bars out there. And for us to build the facility that we would need to get into the extruded product would have been much more expensive and time consuming.

And we would have had to go out and get customers versus buying a business that had that different manufacturing technique, had the facilities, had the customers and had the wherewithal and the know-how to manufacture that way quickly and efficiently. So I wanna shift back as we close out here to some bigger trends. So obviously you have a finger on the pulse of what's happening in manufacturing in your specific sector. There's been a lot of talk about reindustrialization here in the US bringing manufacturing home. I don't think it's gonna look how it looked 20, 30 years ago, even if we do build new factories. So what are you seeing in terms of the way Is manufacturing coming back to the US and how are

these factories and maybe even existing factories looking different than they did over the past decades? What is a manufacturing Renaissance here in the United States going to going to look like? Yeah, so I think some of that we you know bringing manufacturing back to the US is in sectors We don't play in right larger automotive industrial steel things like that. I don't think it really left our country that much on the food side. Now it did in some aspects. I went to, you know, Mexico, Central and South America. But I think in all aspects as manufacturing comes back to the United States, I believe it will be, you know, especially on the food side, cleaner, more efficient, less waste manufacturing. That's better for everybody, right? Safer, right? When we bought a food company, maybe.

10, 12 years ago called Rain Windows. I did snack cups and stuff, you know, gelatin, flans, things of that nature. Branded business did great, but the machinery was old, machinery was tired, the employees weren't focused on safety. So when we went in there and kind of built out the ecosystem that, you know, quality matters of course, waste water and waste going into the ground is is one of the things we need to focus on to reduce that safety measures where you know if you see somebody walking around a wet manufacturing floor with other anything other than you know the right footwear you need to bring them aside you know gently and respectfully and say hey We're worried about everybody's safety. You need to put on the right footwear and that kind of ecosystem. And we went from a system that had, you know, one minor, some sort of minor event that would shut down a line of somebody cutting themselves or slipping and falling. It happened once or twice a month when we got in there and we started changing the culture, right? Knowing what your food safety score is. Everybody on the floor should know what our goal is, where we're at, how we're going to get to the right food safety scores.

Right we went from one or two events a month to we went I think at our peak 680 days or something without any minor event and that bleeds down into the culture and everybody works together to make it a safer cleaner more efficient manufacturing facility. So I think that will happen as things come more onshore and I think the workforce that's going through that and on the line will be driving that as well right nobody likes Nobody likes working in a dirty, unsafe, uncommunicative environment. So I think as

people become more educated as they enter these things and as wages increase, that's the other thing we found is, right, if you can increase wages to a living wage, it may look like it's going to be an More expensive widget at the end of the production line, but in reality you're building a better culture You're having less turnover. It costs money to train people no matter what they're doing and you know Ironically it costs much less for that product at the end when you pay people better To do the work and you have happier workforce, right? That's one of things we're very proud of is building a happy workforce where people are happy to do their job and they're happy in the culture they're in, which leads to cheaper recruiting, right? Because when people go home and they say, yeah, I love my job and I love where I work, when you're looking for somebody who's retired to be replaced, your internal employee base ends up becoming recruiters for you. Now, I know that your deal flow, you're looking at hundreds, multiple hundreds of companies to get into a handful of deals. So it's not like, these things uh jump off the page at you but are there things like this where it is you look at a company they have a good product they have a good brand you're like man i can't believe they use that facility i know that facility they suck And it just kind of like, oh my God, if we just move them from there to our guys over here, the efficiency is just there on day one of making this type of change. What are the sorts of levers sometimes that you can look at like this and just be like, oh my God, they get you so excited? Yeah, look, I think it's all that. I think it's finding companies that there are opportunities that you just miss, right? You can't see the forest through the trees. And I think that is one thing that happens in family businesses, right? You're making 10, 15, 20 million dollars a year. You know, if you make 18 one year, 22 the next year, everybody's still fine, right? Whatever that number is. And you know, what we, what we try and convince families of them, we've been very good is while you run a very good facility, you have never seen best in class. And we will show you what best in class is. And as I mentioned, we have been able to, in every facility we have gone into, increase efficiency in that plant by a minimum of 15%. In some cases, we've been able to increase it by 30% without any capex, right? Significant capex. Just focusing on...

where the bottlenecks are, staging employees coming in. And so we find those all throughout the family business ecosystem. And then to your point,

right? Can we find a brand that has co-manufacturing in subpar what we think are not the best facilities, but has worked for that family for the past 20, 40, 50, 60 years, and it's working, but can it work better? And that's where we have really found value. You're dealing with a delicate balance here of trying to tell companies that what they have is great, but it could be better. How much is speaking the language to be able to get through to these people without insulting them, hurting their feelings, making them feel like the work that they've been doing is valuable but could be worth more.

We are buying good businesses, right? And we want the families to roll over because we think they are extremely important to the future of the business, at least during our hold and maybe even beyond that. So we're not walking in and telling people, hey, look at all you've done wrong and look at what we can do better. We are here to tell them, look, we think we can help around the edges, partner with you. We need to learn from you. Hopefully you can learn from us, but there are things that we think we can do better. Luckily for me and my team, it's getting easier and easier because we've transacted with 29 families now. And every time we've sold the business, those families have become investors in our next fund. So they've taken the proceeds they've taken and said, hey, Andy, AUA team, we love what you did. We saw the respect you treated us with as a family, the respect you treated all of our employees with. And we agree with your business model there. This is a sustainable replicable model.

We want to invest with you. So that's just one thing, right? We are buying good businesses. We just think we can make them better. And sometimes it's just right. The next generation has. no desire to be in the business, doesn't have the capabilities and the earlier generation understands that, or it's just time and the family doesn't want to get into fights or there is fights about the future and they need an impartial arbiter to come in and say, this is how it should be moving forward. So it's different techniques and for each different situation, but I will say the one line that goes through each one of the techniques we use. is honesty, upfront communication, and a true understanding of what we want to do, how we want to do it, and make sure the family we're partnering with is buying into it. We talked about demographic trends earlier. There's been a lot of talk about the great wealth transfer that's going to happen from the baby boomer generation to these

next generations. How much is that creating opportunity for you? And then maybe if you could talk a little bit about your experience having started your own family office, what are some of these things that that family should think about, not just in the transition of maybe their business to a new structure, but also just their wealth in general and how it should be managed. First off, yes, the opportunity is huge because right, baby boomers are retiring and I can't remember the number, but it's trillions of dollars will be transferring over the next decade down to the next generation. And so one of my one of our operating value creation partners gentleman named Tim Havershawn just wrote a great article talking about how to handle sudden wealth and it was driven by the whole SpaceX you know IPO and the 4500 people who become multi-millionaires with liquidity overnight and that has to be something not has to be but should be something in my perspective that families should look into right I always talk about I don't have kids but I have you know, nieces and nephews, 16 nieces and nephews, and I always talk about my desire is to make sure none of those kids become trustafarians, right? They should be productive, you know, insightful members of the community that produce, and that's the goal. And I think most families have that who have a family business want their children and their grandchildren to be productive members of society. So I think that takes planning.

Right and so um and that's working with advisors and attorneys to make sure that transition because a lot of times families can be extremely wealthy with a family business but have no liquidity right and happened in my family we the as we started creating wealth we still had no liquidity for at least a decade but the business was worth a lot and you see that also in the farming community and in the family business community so I think it's important that you build strategies to handle that. And then each family will handle that level of communication, right? There's no one right answer as to how to communicate that. I will say there are wrong answers, right? And I've seen it in my business where, you know, we've talked to families and I'd say, what's your transition plan? And what's your estate plan? How do you want your kids to see this? And when I hear, well, when I die, they'll figure it out. That's a wrong answer, right? But there are different ways to do it correctly and you know whether you start introducing your kid into the family business and You know what wealth means when they're in fifth

sixth seventh grade or even earlier as I was done That works right but there's all different strategies throughout that but it does take planning and it is important to think of both things not just exiting your business but what you're going to transition into, right? So Tim, who I mentioned, him and I have written several papers on, you know, enterprising families, right? When from, you know, you go from a family business to an entrepreneurship or, or you start as an entrepreneur and you build a family business. But this enterprising family unit is important because that gives everybody the ability to be enterprising within the family ecosystem, even if they want to be a philanthropist, a musician.

an actor, a teacher, an artist, a business person, a lawyer. Everybody has something they can be enterprising about, but your brain, your body, everything needs to work towards being enterprising and productive. And that's really what we try and advise families with as well. Are you helping people set up? family offices themselves, whether it's a single family office in the case of maybe a larger size business or helping plug them in with multifamily offices that you know and trust and your families, your prior portfolio company families have worked with in the past. We have and I have. And, you know, so if you look at our value creation partner team, nine men and women who help us, you know, dive in on an operational side, three of those nine are family business experts. So I mentioned Tim, Mike, works at my family offices and helped me build my family office. And then another gentleman, Francois de Vich��re. So Francois and Tim were family business consultants their entire career. And then Tim eventually went in house and works and runs all the family business and family education programs at Fidelity. So we have and I have, you know, advised families on whether it's right to start a single family office or more often than not, you know, maybe start with joining a multifamily office and then building up the ecosystem and the understanding of what you want your family office to be. And then you can split off and do a single family office or build out your own multifamily office, start with your single family or find other families in your in your kind of category that want to work together with you. But we have done that several times. All right. Well, we'll close out with a final question about what the future looks like. Obviously, there are always new developments that you can't talk about.

But in terms of what you can share with us today, what is the near future looking like for AUA?

Yeah, so we have a couple of businesses that we hope to sell over the next year or two. We are looking at taking one of our businesses and putting it into a longer structure as we discussed earlier, as a healthy, better for you, snacking company that we really like have done very well in a short period of time, but there's an inflection point. We've owned the business about two and a half years. We think there'll be some slight growth over the next two to three years when we would normally exit. But there's the ability to really inject some fresh capital and expand into other sectors. And the structure we're in right now doesn't have that much capital left. So we're thinking about putting this into a new structure to hold it for another five years or so and really partner with the family.

To get a longer-term hold so our existing investors will get a great return and hopefully The new structure will give new investors and people who want to roll another ability to you know double or triple their money from this point And then just like always right looking to keep the team happy Internally keep our family partners happy keep our investors happy and everything we do is trying to build the right culture to continue to make money in an ethical and repeatable and fun way with families that we love working with. All right. Well, you mentioned that your partner had written some articles. Where can people find this type of thought leadership from you guys? So he's on LinkedIn, Tim Habershan, and obviously connecting through Fidelity. But in our website, we post some of these articles as well.

It's just been a pleasure working with families and we love to try and put out as much information as we can to help them, whether they work with us or not. And look, we've spoken to a couple of families over the past year or two and we haven't come to a transaction, but we still talk to them regularly and try and help them build their businesses. I'm a family business guy. I want family businesses to succeed, whether they are in a transition with our firm or another firm or just trying to get to the next generation in a successful way, which is beautiful if we can do it. All right. Well, Andy, we'll leave it right there. Thank you so much for joining the show. Thank you, Max. Thanks for the opportunity and I really enjoyed the talk.